



ROUGH CUTS

■ A diamond's weight is measured in carats. One carat equals 0.2 gm. For gold, carat is a measure of purity.

■ The biggest uncut diamond mined in Panna was 29 carats in December 2003. Since the mine reopened in June 2009, the biggest uncut diamond found here was 10.8 carats.

■ A diamond's price depends on the four C's: colour, cut, clarity and carat.

■ Black tuff diamonds are found frequently while white tuff diamonds, denoting excellence in quality, are rare.

■ Off-colour or brown diamonds are put to industrial use like bits of drill machines.

■ One carat of a snow-white uncut diamond without contamination can be sold for up to Rs 1 lakh per carat in Panna.



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expansion from 40,000 carats to one lakh carats. While it had the clearance from the Madhya Pradesh Pollution Control Board under the Air and Water Acts, the expansion required the clearance of the Ministry of Environment and Forests (MOEF). Since the mine is barely 500 m from Panna National Park, the MOEF asked the NMDC to get the nod of the Supreme Court-appointed empowered committee before expansion.

While the application was being processed, it was discovered that a compartment of the adjacent Gangau Wildlife Sanctuary was overlapping a part of the area for which the NMDC had been given a mining lease in 1968. The oversight was because the sanctuary was notified in 1982, a full 14 years after the grant of the mining lease. With increasing pressure from

the wildlife lobby, the NMDC was forced to get a study done by the Wildlife Institute of India that the tigers in Panna wouldn't be adversely affected.

While the committee was deciding the matter, a new notification in December 2008 stated that according to the new regulation, for forest clearance of industrial activity including mining in any forest area, five times of

a minimum of Rs 1 lakh per hectare was to be charged as net present value. The NMDC was slapped with a bill of Rs 67 crore which, along with annual loss of Rs 3 crore for five years due to closure, came to about Rs 82 crore. The NMDC moved the Supreme Court arguing that it couldn't be charged such a steep rate with retrospective effect when its application was made in 2005 before the notification. The court directed that the levy be reduced to Rs 7 crore and operations at the plant could resume in June 2009. "We're still operating only two shifts at 90 per cent of our capacity," says C.L. Kindo, project officer, NMDC Diamond Mine, Panna. Now, the Central government-owned public sector giant has obtained a new reconnaissance permit for Tikamgarh in Bundelkhand. Besides, Kindo says, their licenced prospecting in Sarang and Baghen blocks of Panna has thrown up some encouraging results.

Diamond mining is already on in Panna district and due to start in Chhatarpur. With prospects of discovery in Tikamgarh also bright, three out of six districts in Bundelkhand in Madhya Pradesh could become a hub of diamond mining. For just one mine at Bunder, Rio Tinto plans to invest almost Rs 2,200 crore. But there are challenging odds in the way: getting reconnaissance permits, prospecting licences and mining leases is painfully slow. Rio Tinto's application for mining lease for the Bunder project is still in limbo since 2008. But as one of the only four new diamond mines that will become functional globally in the next 10 years, Bunder can shift the dynamics of the diamond industry.

Diamond experts say this is an ideal time for the state to attract industry. "We're planning roadshows in places like Surat and Mumbai to attract the diamond cutting and polishing industry to the state, preferably Indore," says Mishra. Almost 90 per cent of the world's diamonds are cut and polished in India. With potential for more discoveries at many locations across the region, diamonds are perhaps the only good news to come out of Bundelkhand in a long time. ■